

GUIDANCE NOTES FOR LODGE TREASURERS IN HERTFORDSHIRE

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CONTENTS

Foreword

1. Roles and Responsibilities of a Lodge Treasurer

2. Regulations
   2.1 Book of Constitutions
   2.2 Lodge By-Laws

3. Lodge Bank Account
   3.1 Lodge Income
   3.2 Lodge Expenditure
      3.2.1 Masonic Dues
      3.2.2 Other Expenditure
      3.2.3 Ladies' Nights
   3.3 Benevolent Funds
      3.3.1 Fundraising for Benevolence
      3.3.2 Benevolent Fund Expenditure
   3.3 Masonic Charitable Foundation Relief Chest Scheme

4. Accounting Records
   4.1 Lodge Cashbook
   4.2 Lodge Accounts
   4.3 Lodge Budgeting

5. Auding the Finances of a Masonic Lodge
   5.1 Preparation
   5.2 Conducting the Audit Annual Accounts
      5.2.1 Receipts
      5.2.2 Payments
      5.2.3 Invoices
      5.2.4 Other
   5.3 Conclusion

Appendix 1: Example Lodge Cashbook
Appendix 2: Example Lodge General Fund
Appendix 3: Example Lodge Benevolent Fund
Appendix 4: Example Lodge Budgeting Sheet
Appendix 5: Approval of Annual Returns in Hermes

Foreword

This guide is produced for the information and guidance of Lodge Treasurers in Hertfordshire. The main objectives are to provide Treasurers with guidance on their duties and responsibilities and to provide a framework to produce meaningful accounts, which also promote a consistency of approach within the Province. Should you require clarification of any point then please contact the Provincial Grand Treasurer via the Provincial Office.

The all-encompassing rule for Treasurers and Auditors is Rule 153 Book of Constitutions, which is reproduced in full under the heading "Regulations" but set out in paragraph form to emphasise the points being made.

Additionally, the Province requests each Lodge to submit a copy of its last approved Annual Accounts to the Province when the Annual Return is submitted in Hermes. In practice, Lodges should forward a copy of their accounts as soon as they have been prepared and audited, rather than waiting for the next Annual Return.

Rule 153 also imposes a time limit at which the accounts are presented to the members of the Lodge, this being the third meeting after the Lodge's fiscal year-end date.

Lodge accounts usually comprise a General Fund Account, a Benevolent Fund Account and a Relief Chest account. Some Lodges may have more accounts than these. A summary of these are below:

Account Type	Purpose	Example Income	Example Expenses
General Fund	To meet financial obligations to keep Lodge operations running.	Subscription income from members, dining fees. On very rare occasions raffle proceeds but only if participants are **clearly** advised in advance.	Rent at centres, dining costs, UGLE and Provincial Dues, Insurance, Tyler fees, widows gifts, repairs to and purchasing of Lodge equipment such as working tools.
Benevolent Fund	Money to be used for charitable causes, which could be non-registered entities.	Alms collected at Lodge meetings, but not boosted by gift aid, raffle proceeds, ad hoc donations, fundraising.	Helping members in distress, supporting local causes, sponsoring fundraising like bike rides, registered charities, Provincial Festival.
Relief Chest	Exclusively for charitable giving to registered charities or HMRC-recognised charitable organisations.	Alms collected at Lodge meetings, boosted by Gift aid, other benevolence fundraising.	Registered charities, Provincial Festival. Note: These funds cannot be used for internal Lodge expenses, non-charitable purposes, or be transferred back to the Lodge.
Other Accounts	There could be other accounts or ring-fenced funds for specific purposes such as for ladies' weekends, or Centenary meetings.	Ticket sales, raffle proceeds if participants are **clearly** advised in advance of collecting donations.	Deposits on hotels, centenary warrant and associated festivities, transfer of surplus to benevolent or Relief Chest accounts.

When a Lodge holds a fund-raising event such as a raffle, the Charity Steward must announce where the proceeds from that event are to be donated. This may be 'for benevolence' or for a specific cause (e.g. Christmas Gifts for Widows) or a specific Charity appeal (e.g. the Hertfordshire 2030 Festival). The Treasurer must ensure the money collected is correctly accounted for in the respective account (e.g. General, Benevolent, or Relief Chest).

A Lodge may hold fund-raising activities for a specific cause which is not for benevolence e.g. to subsidise a Centenary Meeting. This is permitted if the beneficiary of the fund-raising activity is clearly announced to all Lodge members at the outset. In this case proceeds from this activity should be recorded in the Lodge General Account or other non-benevolent or non-Relief Chest account as a specific line item.

Surplus funds can be transferred from the Lodge General Account to the Lodge Benevolent Account but funds that have been collected for Benevolence cannot be transferred to the Lodge General Fund.

Moving on to the accounts, the circumstances of each Lodge are different, so it is not possible to produce a set of documents that will fit every conceivable situation, but it is hoped that Treasurers will be able to tailor the accounts to suit their Lodge's requirements.

The example accounts in Appendix 1 to 4 comprise a General Fund Cashbook, a General Fund Account, a Benevolent Fund Account, and a Lodge Budgeting Sheet.

Finally, before moving on to the main content, the management of a Lodge's finances and the preparation of the accounts are not easy for all, and it is not possible to cover everything with a guide of this kind.

Please remember that Province exists for the benefit of its members, so no one should feel any reluctance to ask for advice. The Provincial Grand Treasurer and the Provincial Grand Secretary will always be very happy to help; therefore, please do not hesitate to seek their assistance.

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1. Roles and Responsibilities of a Lodge Treasurer

The Treasurer of a private Lodge is elected (not appointed) annually.

This is an indication of the importance of the position, which is one of the most highly regulated in Freemasonry. It is common for a Treasurer to hold office for a term of 5 years.

The Treasurer's role is to manage the Lodge finances, which includes:

- Budgeting subscriptions and dining fees for the ensuing year,
- Collecting subscriptions and dining fees,
- Paying masonic dues and other expenses promptly,
- Keeping accurate records and preparing annual accounts, and
- Administering and disbursing Benevolent Funds.

The key to doing it well is being organised and methodical.

In a survey of Lodge Treasurers, the most common problems encountered were:

- Collecting subscriptions,
- Changing bank mandates,
- Budgeting, and
- Finding a successor.

The intention of these notes is to offer guidance, particularly to those Treasurers who do not have experience in bookkeeping or accountancy.

It is hoped that guidance in the various aspects the role entails will help to avoid some of the more common pitfalls, and to minimise any problems which might arise.

The Treasurer has specific responsibilities laid down in both The Book of Constitutions, the Provincial and Lodge By-laws (which, in Hertfordshire, generally follow a standard form).

It is also the Treasurers responsibility to approve the Lodge UGLE and Provincial Annual returns in Hermes. The process for this is covered in Appendix 5.

The abstracts and commentary below cover the principal points.

2. Regulations

2.1 Book of Constitutions

Rule 112 - Election of Treasurer.
(a) The Treasurer shall be elected by the members on the regular day of election of the Master and in the same manner.
(b) The Grand Master or in a Metropolitan Area, Province or District the Metropolitan, Provincial or District Grand Master may, upon the representation of the Master that the Treasurer by reason of ill health, absence likely to be protracted, or other special circumstances, is unable to discharge his duties to the reasonable convenience of the Lodge, grant a dispensation to the Lodge to elect a member, not serving a regular office in the Lodge, to discharge the duties of the Treasurer until the Treasurer is able to resume the normal discharge of his duties or until the next regular period of election, whichever shall first occur.
(c) Ten days' notice of intention to propose such an election together with a statement that the requisite dispensation has been obtained must appear on the summons for the meeting at which the election is to take place and such meeting may be either an ordinary meeting or an emergency meeting duly authorised pursuant to Rule 140.

Note: In case of incapacity of a Treasurer the Lodge Secretary must request a dispensation from the Provincial Grand Master to elect a temporary Treasurer until the next regular period of election.

Rule 145 - Lodge subscriptions.
All members entitled to the same privileges of a Lodge must pay annually the same amount of subscription, save that, if the by-laws so provide, a smaller rate of annual subscription may be fixed for members who, for some cause satisfactory to the Lodge, are not in a position to enjoy such privileges regularly.

No Lodge may by its by-laws or otherwise provide that any subscribing member thereof shall not be entitled to receive summonses, or be disqualified from holding office therein, but a Lodge may in its by-laws provide that members who are in default in the payment of their subscriptions for some specified period, not less than three months after their becoming due, shall be deprived while so in default of all or any of the rights of voting, proposing or seconding candidates, and being appointed or elected to office.

Rule 146 – Annual Return of Members
The Annual Return of Members, which is generated immediately after the Lodge year end, will be authenticated by the Secretary and Treasurer in the Hermes IT System. When an annual return is approved by the Treasurer, he will receive automatic emails providing payment information.

Rule 147 - Remittance of fees, etc.
Every Lodge when it makes the return required by the preceding Rule shall remit the proper fees payable pursuant to Rule 269 in respect of every member whose name appears thereon, irrespective of whether his subscription has been paid or not. In the case of a member who has not paid his subscription the date to which he is clear on the books of the Lodge shall be stated in the appropriate place in the return.

The Annual Return is a list of all brethren who were members of the Lodge at any time during the year ending on the date of the return, and the dues are therefore by default always paid in arrears.

Rule 148 - Cessation of membership when two years in arrears.
Should the subscription of a member to his Lodge remain unpaid for two full years, he shall automatically cease to be a member of the Lodge, and this fact must be reported to the Lodge at the next regular meeting and recorded in the minutes.

Notwithstanding any provision contained in the Lodge's by-laws, the Lodge shall be entitled to proceed against any of its members under Rule 181 in respect of sums due for a period of six months.

Rule 152 -Penalty for neglect to make returns
If any Lodge shall neglect to make its return and payments to the Grand Lodge for a period of six months after the same are due according to these regulations, it shall be liable to erasure or to a lesser penalty under Paragraph 4 of the Schedule of Disciplinary Provisions and in addition the Board of General Purposes may impose such penalty as it considers fitting upon any of the members of the Lodge who have been responsible for the neglect.

The Master, Wardens, and Past Masters shall not be permitted to attend the Grand Lodge or sit upon any Board or Committee by virtue of any qualification derived from a Lodge until the proper returns and payments to the Grand Lodge from that Lodge have been made.

Rule 153 - Treasurer's Duties and Lodge Accounts.
When the Treasurer receives any Lodge monies, he must deposit them in the Lodge's bank account without undue delay. This is not only good practice but also minimises the risk of loss or error.

The Treasurer shall make such payments as are duly authorised or have been sanctioned by the Lodge.

The Treasurer, but on no pretence any other Brother acting either alone or in conjunction with another Brother, may make payments from the Lodge's account by electronic means; in the absence of the Treasurer all payments from Lodge funds shall be made by cash or by cheque.

The Treasurer shall keep a complete record of all the Lodge's financial transactions.

The Treasurer shall prepare an annual statement of accounts, made up to the financial year end date as stated in the Lodge By-laws. The accounts shall be verified and audited by a Committee of members of the Lodge elected annually.

Note that both the Book of Constitutions and the Hertfordshire model By-laws use the word `audit', which legally is a formal process which must be carried out by a Registered Auditor. This is not the intention of the Masonic regulations, so it is assumed that `audit' can be interpreted wherever it appears herein with its commonly understood meaning of an independent examination and verification.

The accounts shall be presented to the Lodge at the regular meeting following the Lodge year-end date, and no later than the third meeting after the year-end date. This can be a tight timetable, especially for Lodges which meet monthly, so the Treasurer should prepare carefully and involve the Auditors at an early stage.

Copies of the audited accounts shall be sent to all members of the Lodge with the summons convening the meeting at which they are to be considered, and the books of account shall be produced for inspection in open Lodge at that meeting.

Rule 169 - Fee for Initiation.
When a person is made a mason, he shall pay to the Lodge the registration fee (as notified each year) payable to United Grand Lodge and the Provincial Grand Lodge of Hertfordshire and Lodge initiation fee specified in its By-laws.

Rule 171 - Responsibility for fees.
A member who sponsors a candidate for initiation or joining membership shall be responsible to the Lodge for all fees payable under its By-laws in respect of that candidate.

Rule 175 - Grant of certificates by Private Lodges.
In various circumstances, such as when joining another Lodge, a member will require a Clearance Certificate stating that he is not indebted to the Lodge. The certificate will normally be issued by the Secretary, but he will ask the Treasurer to confirm the financial position.

In Hertfordshire this check is automatically performed by the Hermes System. If the joining member is indebted to another Lodge or Chapter, his application will be immediately halted.

Rule 269 - Annual Dues payable.
An annual fee (at the rate notified to the Secretary prior to the start of each Masonic year) is payable in arrears to United Grand Lodge in respect of each member of the Lodge. The full fee is payable even when a brother has only been a member for a part of the Masonic year. A Brother pays dues in every Lodge (with certain specific exceptions) of which he is a subscribing member.

2.2 Lodge By-laws

No. 5 - Audit committee and annual accounts.
The Accounts shall be made up to the last day in the month specified in the By-laws.

This By-Law also states the meeting at which the accounts shall be presented.

The Accounts shall be audited by the Audit Committee, which consists of at least two members of the Lodge elected annually.

A copy of the Audited Accounts shall be sent to the members with the summons convening the meeting at which they are to be approved.

No. 6 - Fees and annual subscription.
Fees for initiation, joining and re-joining are specified in the By-laws. They can be changed only by changing the By-laws (which is more complex than a simple resolution on the summons).

The By-laws will often provide that in addition the candidate shall pay such registration fees as are payable to United Grand Lodge and, if applicable, Provincial Grand Lodge.

The annual subscription is such as the Lodge shall from time to time decide.

If the Treasurer wishes to change the subscription he needs to make a formal proposition by notice on the summons.

Depending on the practice of the Lodge, he may first need the approval of the Lodge Committee, so he must be aware of the time it may take to enact a change.

Any member whose subscription is unpaid for X months shall be liable to be excluded from the Lodge. (X is specified in the Lodge By-Laws)

No. 7 - Non-dining or country members.
A Lodge may specify reduced fees for non-dining or country members.

No. 10 - Payments from Lodge funds.
The Treasurer should seek approval from the Lodge for any payment if it is for other than ordinary purposes.

3. Lodge Bank Account

The Lodge must have a current account in its name and may have a deposit account.

Best practice, unless the Lodge uses the Grand Charity Relief Chest Scheme (see below), is to have a separate account for its Benevolent Fund.

Changing the mandate is always difficult and takes time. The Treasurer should start the process of getting his name added to the mandate as soon as he is appointed.

It is for the Lodge to decide whether the Master is to be a signatory during his year of office. Given the time taken by banks to change mandates, this can be problematic and it is generally more practical to include the Secretary as a signatory as he commonly remains in office for several years.

It is recommended that, even though the Lodge may only have two cheque signatories, two or three senior Past Masters (possibly Past Treasurers) are kept on the mandate for emergencies.

Electronic banking is recommended for several reasons:

- If the Lodge has several accounts, it is much easier to transfer funds between them,
- Statements can be viewed online, so for example if members have told the Treasurer that they have paid their subs directly into the account, he doesn't have to wait for the next statement to check,
- The Treasurer can make payments directly from the account - but the Lodge should approve this (per Rule 153, Book of Constitutions), as it may be that only one authorisation is needed, and
- When the Treasurer hands over to his successor, he just needs to give him the password - there's no new mandate required.

3.1 Lodge Income

Subscriptions and dining fees are the Lodge's two main sources of income.

The Lodge subscription year is the same as the Lodge financial year. It is recommended that members pay their subscriptions in advance of the subscription year to give confidence that all expenses can be met.

There are usually three options to calculate subscriptions from joiners or initiates joining the Lodge mid-way through the financial year:

1. Regardless of the date of joining, request full year's subscription value. This is simple, however, if subs include dining, then it may penalise the member unnecessarily if they are paying for dining costs for meetings before they joined.
2. Pro rata the annual subscription value by the number of meetings remaining in the financial year. This may be the most common way (e.g. if annual subs are £240 and a member joins in month 6, to charge £120). However, if any costs are paid in arrears such as UGLE and Provincial Subs, then this method may result in a potential loss to the Lodge if the pro rata fraction is too small (e.g. joining in meeting 4 out of 5).
3. Request an alternative amount calculated by the Treasurer to avoid a loss from that member (e.g. if joining in meeting 4 out of 5, charge dining for 2 meetings plus full UGLE and Provincial fees). This is the most equitable but requires more work from the Treasurer.

Once the Treasurer has prepared the budget and has calculated the subscriptions required for the next Lodge financial year, it is practice in some Lodges to present the proposals for approval to the Lodge Committee.

Once approved, if the subscription value is to change from the current year, the Secretary will include this as a proposition on the summons for the meeting prior to the start of the financial year for approval by the members.

Dining fees are set by the Treasurer, though he usually requests the approval of the Lodge Committee, particularly if he wants to increase them.

Dining fees are not regulated in the By-laws and so there is no need for changes to be approved in open Lodge, although in some Lodges it is the custom to do so.

The Treasurer should be aware that there are several options when considering the level of fees, including:

- A single annual sum to cover both Lodge subscription and dining fees
- Subsidising dining fees out of subscriptions
- Charging different dining fees for members and visitors
- Charging a different dining fee at the Installation Meeting, usually done if the menu is a higher cost than Regular meetings.

If a Brother wishes to join another Lodge or Masonic Unit, he may be asked to provide a Clearance Certificate. This will be done by the Secretary, but he will need to confirm with the Treasurer that the Brother's subscriptions are paid up to date. If the new Lodge is administered by Hermes, then the system automatically checks the applicant's good standing, and a clearance certificate is not required.

3.2 Lodge Expenditure

3.2.1 Masonic dues
United Grand Lodge charges an annual capitation fee which is payable with the Annual Return, and which is payable in full in respect of any Brother who was a member at any time during the financial year of the return (which could be different to the financial year of the Lodge).

Note that the charge is levied in full for joiners or leavers, even though they may only have been members of the Lodge for a few months during the year.

The fee is calculated in arrears, so is always paid after the end of the year to which it relates. The annual accounts must therefore include a provision for the amount due.

The same considerations apply for Provincial Grand Lodge.

Dispensations are required if, for example, a Lodge must change the date of its meeting from the regular day. A fee is payable to Provincial Grand Lodge or Grand Lodge.

3.2.2 Other expenditure
Rent of the Lodge room is one of the Lodge's biggest expenses. It is usually calculated before the start of each year by the relevant Masonic Hall Company and is notified to the Secretary. This financial year could be calendar year and could be different to the Lodge's financial year.

Dining costs are the next major expense. It is important that the Treasurer liaises regularly with the Catering Officer, to ensure that the cost of the meals he has selected is within budget, and with the Secretary, to ensure that the numbers ordered are correct.

A lack of communication here can quickly lead to significant cost overruns.

The Treasurer should be aware that the finances of most Masonic Halls are run by volunteers and are finely balanced. It is important to pay promptly and in full.

If the Tyler and Organist are paid fees, they will usually be in cash. This should be recorded and shown as an expense in the General Fund accounts.

There will be other expenses such as printing and postage and insurances and the Treasurer deals with payment of these as and when they arise.

A supplier's invoice or similar voucher should be obtained for every payment from Lodge funds.

3.2.3 Ladies' Nights
Receipt and disbursements for Ladies' Nights and similar functions must never be included in the accounts relating to the General Lodge Funds as this is solely for operating costs.

When examining accounts the Provincial Treasurer will be looking to ensure that these requirements are being followed

3.3 Benevolent Funds
Charity collections in the Lodge room, and by raffle or similar at the Festive Board, are generally pooled into the Lodge Benevolent Fund.

3.3.1 Fundraising for Benevolence
Lodges must state clearly the destination of any funds to be collected: this also applies to quasi-Masonic functions such as ladies' festivals, raffles, quiz nights, social gatherings etc. If a specific charity is named, i.e. Cancer Relief or the RMBI, then the proceeds must go to that charity. If fund raising is generally 'for charity', the proceeds must be used for charitable purposes.

Unless the Lodge uses the Grand Charity Relief Chest Scheme, it is good practice to use a separate bank account for the Benevolent Fund.

Donations from the Lodge Benevolent Fund are usually discussed at a meeting of the Lodge Committee and once agreed are proposed by the Charity Steward in open Lodge.

As soon as the resolution has been approved, funds can be sent to the beneficiaries/charities selected.

3.3.2 Benevolent Fund Expenditure
There is no reason why monies collected for benevolent purposes should not continue to be applied in traditional areas, i.e. widows' Christmas gifts or funeral flowers, provided that the destination of said funds has been clearly announced before collection as the Lodge Benevolent Fund. It is suggested that an item on the summons 'To the cause of charity', or other similar wording, may better be expressed as 'To collect for Benevolence'.

Benevolent funds can also be applied for charitable purposes.

3.3 Masonic Charitable Foundation Relief Chest Scheme
The Grand Charity Relief Chest was established in 1986 as a free service to private Lodges. The scheme is a facility whereby Lodge Benevolent Funds are sent to the Grand Charity as and when they are received and are held to the order of the Lodge. When the Lodge wishes to donate, it sends a withdrawal form to the Grand Charity, and they send the donation directly to the beneficiary.

The Lodge is sent a statement once a year, or on request, showing deposits, donations and interest earned. The advantages of using the scheme include:

- No need for a separate bank account,
- Better rate of interest and no tax is payable thereon,
- Avoids the possibility of mixing General and Benevolent monies - after each meeting the Treasurer simply sends a cheque, or makes an electronic transfer, for the total sum collected,
- Donations by individuals can be gift-aided, which increases their value by 25%,
- The scheme is operated free of charge to the Lodge.

4.0 Accounting Records

The two key accounting records which the Treasurer needs to keep if he is to be able to control the Lodge finances and prepare annual accounts are the Cashbook and the Subscription Register.

These records will be supported by files of Bank Statements and Payment Vouchers, and often the Treasurer will keep a Summary Sheet for each Lodge meeting, on which he records the various transactions which occur on the night (dining fees, subscriptions, alms collected, payments to Tyler and Organist, etc.) the total of which will be the sum he pays into the bank the next day.

4.1 Lodge Cashbook

The Cashbook is essentially a list of receipts and payments, including the date of the transaction and a description of the source of funds or of the name of the payee, and at a very basic level this is all that is required.

Commonly, however, it will also show an account balance and often it will be analysed into the various categories of income and expenditure to enable them to be easily summarised.

The cashbook can be maintained manually (there are many ruled account books designed for this purpose) but it lends itself to being kept on a spreadsheet (and a fairly basic ability with such programs will suffice).

An example of an analysed cashbook is included at Appendix 1.

The columns in the example are as follows:

Left hand section - the cashbook

- Date,
- Ref(erence) - e.g. a cheque number,
- Description - e.g. `January meeting' or the name of an individual payee
- Received/Paid - the amount, as appropriate,
- Balance - i.e. the true balance, irrespective of whether an item has cleared through the bank account, and
- Rec(onciled) - ticked off when the item has appeared on the bank statement.

Right hand section - the analysis

- Extend across from the receipt or payment into the relevant column(s) and, when totalled, these quickly show the running balance of the relevant item.
- A receipt, such as `January meeting', may well comprise subs, dining fees and a payment to the Tyler.
- Payment may be for a single item, e.g. Annual Dues, or may extend into several, e.g. the Hall Company will usually be paid with a single cheque for both rent and dining fees.

The Subscription Register is simply a list of members, the amount of subscriptions due each year, and the date on which those subscriptions were paid.

Keeping a record for each member in this way means that the Treasurer does not have to find the individual receipts in the Cashbook, and work out to which year they relate, when he needs to check if a member is up to date.

4.2 Lodge Accounts

The Lodge financial year is defined in the Lodge By-Laws. This is By-Law 6 Fees and Subscriptions in the Model By-Laws.

Separate accounts should be prepared for the General and Benevolent Funds.

The Book of Constitutions states that the accounts should present the ‘exact financial position of the Lodge'. This means a Statement of Income and Expenditure and a Balance Sheet.

Both accounts should include the figures for the previous year for comparison. Examples of accounts are given in Appendices 2 and 3.

The accounts should be audited/examined and certified, again as shown in the appendices.

The Accounts, and the Report of the Auditors/Examiners, need to be sent to the members with the summons for the meeting at which they are to be approved.

4.3 Lodge Budgeting

One of the principal tasks for the Treasurer is to ensure that the Lodge has enough income to cover its expenditure.

To calculate the subscription needed for the ensuing year, the Treasurer needs to collate all the relevant information. Some of this may be actual figures which have been set in advance, e.g. the amount of United Grand Lodge dues or the rent for the Lodge room. Some may have to be estimates, e.g. the expected average cost of meals and the number of members attending. Historical data, and the Treasurer's own experience, is the best guide for these estimates.

There are many ways to perform calculation, and many Treasurers simply add a small percentage to the previous year's amount and hope for the best. This may work if the Lodge is in a reasonably static position, but if any costs rise by more than average, or if, e.g., the number of members or diners changes significantly from one year to the next, it could give the wrong answer.

To assist Treasurers an example Lodge Budgeting Sheet given in Appendix 4 and can be replicated on an Excel spreadsheet.

5.0 Auditing the Finances of a Masonic Lodge

The Lodge requires assurance to be confident that the Treasurer is doing his job correctly and keeping the necessary records. It is the auditors' (or examiners') role to provide this assurance.

Due to legislation many Lodges call the Auditors "Examiners" or "Scrutineers"

Competent auditors/examiners will be able to verify that the records are appropriate, complete and accurate and reassure the members of the Lodge that - to the best of their knowledge - all monies have been correctly accounted for.

A Lodge appoints two members to carry out the audit and, ideally, they should work as a team and agree each stage of the audit process together. Checking accounts is not always a simple process so two heads are better than one.

Grand Lodge recommends that the Auditors/Examiners should be senior members of the Lodge, preferably with an understanding of accounts.

Following these guidelines will help to ensure that the checks made are purposeful and give the assurance needed.

5.1 Preparation

It will be helpful to ask the Secretary to provide certain information: For example, a full list of members from whom subscriptions have been required.

Also, details of the value of Alms collected and raffle proceeds throughout the year. These sums should be announced at each meeting and duly recorded. The Dining Steward may provide details of how many dined at each meeting and the cost of each meal.

It may well be necessary to raise queries with the Treasurer which arise during the audit. The Auditors/Examiners should always be confident in doing this and indeed would be failing in their duty to the Lodge to shirk this responsibility. It may be helpful to arrange a meeting between the Auditors/Examiners and the Treasurer to resolve the queries.

Remember that the Auditors/Examiners must sign a declaration that the Accounts have been checked and found to be accurate - therefore, do not underestimate the importance of this job!

The following documents and information should be obtained:

- Annual Accounts
- Receipts and Payments Accounts/Ledgers. If records are kept on computer, these must be made available and preferably printed. Bank statements, Cheque Books, Paying in Books
- Record of subscriptions received, invoices for all expenditure, dining records.
- Reports on funding activities and donations made.
- Records of Lodge expenses held by any other party e.g. Almoner.
- A copy of the Minutes for each Lodge meeting and Committee meetings, which may record the authorisation of expenditure.
- Copy bank statements, at least for the opening balance and closing balance.
- Any other records which have been kept.

5.2 Conducting the Audit Annual Accounts

This is the document that the auditor must sign with the declaration that all balances have been checked and the accounts have been duly audited.

- Check that all columns on this document are correctly totalled.
- Check that all bank balances shown are correctly recorded by comparing to bank statement details at the appropriate dates.
- Examine the Receipts Account, ensuring that all totals under each heading have been correctly brought forward.
- Examine the Payments Account, likewise, ensuring that all totals under each heading have been correctly brought forward.

5.2.1 Receipts
Check that columns have been correctly added up. If they are too numerous do this at random.

Check that subscription income matches the number of members multiplied by the annual subscription fee. Also request a snapshot of member subscription status at the year end date, showing who is up to date, who is in arrears and who may have paid in advance.

Verify that the deposit values shown on the bank statement are correctly recorded and consistent with the Receipts Account.

For example, adding the recorded amount of dining fees - alms - raffle proceeds and any other miscellaneous income at any one meeting should total the amount deposited into the current account following that meeting. If the figures are not consistent, raise a query.

Note: Time may not permit every suggested check to be carried out for every deposit in which case review enough deposits, at random, to feel comfortable with the accuracy of reporting.

Verify that deposits made for all activities match the amount reported. e.g., if the Lodge minutes recorded that £250 was raised at the raffle, there should be a £250 deposit.

If any deposit amount differs from the recorded values raise the question with the Treasurer.

5.2.2 Payments
Check that columns have been correctly added up - at random if necessary.

Compare cheque reference numbers and values to the bank statements and compare them to cheque stubs to ensure that all expenditure is accounted for.

Ensure that no money has left the account which cannot be traced to a cheque stub or electronic payment (for example from a cheque book bearing a different sequence of numbers or an unaccountable miscellaneous transfer).

Verify that every cheque stub is present and legible. In cases where a cheque is not issued (due perhaps to a mistake in its completion) it should be retained and both it and the stub should be marked CANCELLED.

5.2.3 Invoices
Endeavour to trace each cheque stub to an invoice or reference in the minutes which authorises the payment. Each payment should be recorded in the Accounts.

Depending on the volume of transactions, random selection may be appropriate.

Note: All cheques and electronic payments should have an accompanying invoice.

It is good practice for the Treasurer to note the cheque number on each invoice and retain them to help facilitate an audit trail.

Reimbursements for expenses – e.g. Secretary or Almoner - should include individual invoices for each item and a schedule which is totalled to show the sum claimed.

5.2.4 Other
Check that the bank balance at year end is sufficient to meet outstanding liabilities.

Check that benevolence funds, raffle or similar proceeds are not included in the General Fund – and therefore not inadvertently contributing to Lodge operational costs. This is very important as it ensures funds are directed where they were intended to be.

The Auditors/Examiners should ask questions to the Treasurer if there is a large surplus or deficit, and what will be done to rectify the situation. A surplus may mean low value for money from members, and a deficit could mean subs are not set high enough.

5.3 Conclusion
This guide offers advice on conducting the most basic audits and it is hoped it will prove helpful to any Lodge Auditors/Examiners who feel unsure about the process.

Remember that you are not there to catch the Treasurer out, but merely to reassure your Lodge members that the money they pay in subs, for meals and donations to charity has been correctly received, accounted for and deposited into the bank.

Appendix 1: Example Lodge Cashbook

Example Lodge No. 1234
General Fund Cashbook

Date	Ref	Description	Rec'd	Paid	Balance	Rec	Receipts analysis				Payments analysis					
							Subs	Joining and Init'n	Dining fees	Interest rec'd	Tyler and Organ't	Rent	Dining costs	Sec'y costs	Annual Dues	Sundry
01/01/13		Opening balance			6,671.85											

Appendix 2: Example Lodge General Fund

EXAMPLE LODGE No. 1234

GENERAL FUND ACCOUNT

INCOME & EXPENDITURE FOR THE YEAR ENDED 31 DECEMBER 2025

	2025	*2024*
	£	*£*
INCOME		
Subscriptions	13,350	12,800
Initiation and joining fees	177	109
Bank interest (net)	2	4
Members and visitors dining fees	7,435	6,825
	0,965	19,738
EXPENDITURE		
Dining costs	9,011	8,542
Rent of lodge room	6,490	6,012
Tyler and organist	100	90
Secretarial and sundry	684	658
United Grand Lodge dues	3,043	2,984
Provincial Grand Lodge dues	1,463	1,411
	0,790	19,697
EXCESS OF INCOME OVER EXPENDITURE	L175	L41

BALANCE SHEET AS AT 31 DECEMBER 2025

	2025	*2024*
	£	*£*
ASSETS		
Debtors and prepayments	781	380
Cash at bank and in hand	6,672	6,613
	7,453	6,993
LIABILITIES		
Creditors, accruals and subs in advance	5,750	5,465
	L1,703	L1,5 28
CAPITAL ACCOUNT		
Balance brought forward	1,528	1,487
Surplus for the year	175	41
Balance carried forward	L1,703	L1,5 28

AUDITORS' REPORT

We certify that that all balances have been checked and that the accounts have been duly audited.

Past Master 1 and Past Master 2, Auditors Date

Appendix 3: Example Lodge Benevolent Fund

EXAMPLE LODGE No. 1234

BENEVOLENT FUND ACCOUNT

RECEIPTS & DONATIONS FOR THE YEAR ENDED 31 DECEMBER 2025

	2025	*2024*
	£	*£*
RECEIPTS		
Alms collections and social board raffles	2,277	2,075
Interest received	8	29
	,285	2,104
DONATIONS		
RMBI 2015 Festival	1,000	1,000
Charity 1	250	200
Charity 2	250	200
Charity 3	250	0
Charity 4	250	0
Charity 5	250	0
Charity 6	0	200
Charity 7	0	200
Charity 8	0	200
	,250	2,000
EXCESS OF RECEIPTS OVER DONATIONS	O5	L104

BALANCE SHEET AS AT 31 DECEMBER 2025

	2025	*2024*
	£	*£*
ASSETS		
Grand Charity Relief Chest	1,575	1,540
	L1,575	L1,540
CAPITAL ACCOUNT		
Balance brought forward	1,540	1,436
Surplus for the year	35	104
Balance carried forward	L1,575	L1,540

AUDITORS' REPORT

We certify that that all balances have been checked and that the accounts have been duly audited.

Past Master 1 and Past Master 2, Auditors Date

Appendix 4: Example Lodge Budgeting Sheet

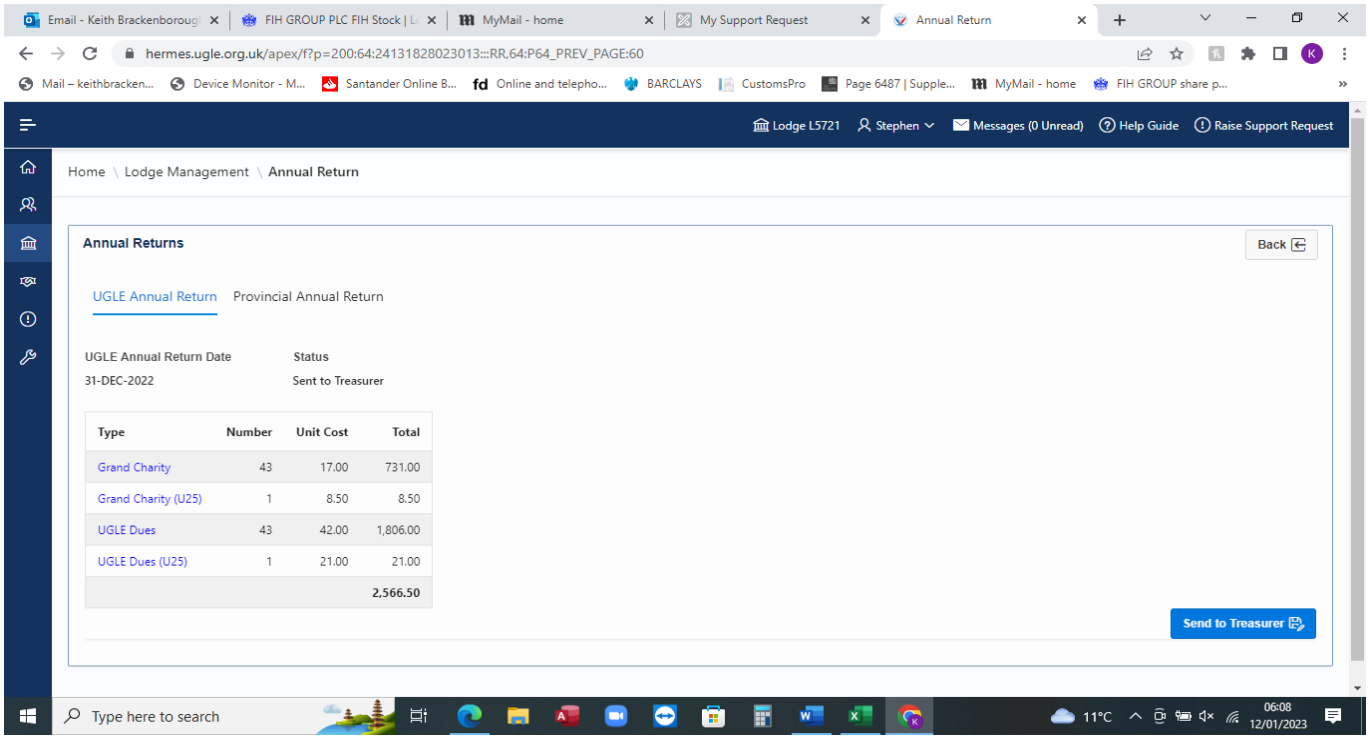
Subscription calculator

Name of Lodge	Example	
Year ending	31/12/2025	
Number of meetings held per year		7
Membership numbers		
	Number of members at start of year	7
	Number of initiates expected	
	Number of joining members expected	0
Membership fees		
	Initiation fee	£100
	Joining fee	£100
Dining numbers		
	Members at regular meetings	38
	Visitors at regular meetings	8
	Guests of the Lodge at regular meetings	
	Members at installation meeting	45
	Visitors at installation meeting	10
	Guests of the Lodge at installation meeting	4
Dining fees		
	Member charge at a regular meeting	£20
	Visitor charge at a regular meeting	£1 2
	Member charge installation meeting	£25
	Visitor charge at installation meeting	£1 2
Other income		
	Estimated bank interest receivable	£10
Costs		
	Rent per meeting	£940
	United Grand Lodge dues per member	£43
	Provincial Grand Lodge Dues per member	£20
	UGL initiation fee	£59
	UGL fee for Grand Lodge Certificate	£0
	Cost of meal at a regular meeting	£27
	Cost of meal at installation meeting	£27
	Tyler's fee per meeting	£20
	Organist's fee per meeting	£0
	Cost of summons per meeting	£1
	General secretarial costs per year	£400
	Other costs per year	£200
Subscription required to break even		202.18

Appendix 5: Approval of Annual Returns in Hermes

When the UGLE and\or Provincial Annual Return is due the Secretary will receive an email advising that fact.

The Secretary should log into Hermes and go to Lodge Management-> Annual Return and will see the Annual returns screen. An example is below.



To obtain a list of the member to which the numbers relate, click on the Blue text 'Grand Charity' or 'UGLE/SGC Dues' and a new window will open displaying the list. The Secretary can execute a Ctrl-P to print the report.

To view the Provincial return please click on 'Provincial Annual Return' to obtain the Provincial Screen, and the list of members can be obtained in the same way.

The Secretary must send the Annual return to the Treasurer for approval. This is achieved by clicking on the 'Send to Treasurer' button which will send two e-mails to the Treasurer. One will have a temporary password, the other a link to the Annual Return in Hermes. The system link and password are only valid for 72 hours so the Secretary should contact the Treasurer to ask him to complete the process. If the links expire, the Secretary can resend new passwords and links with the Send to Treasurer button.

The Treasurer should copy and paste the temporary password into the password box in the other e-mail, and access to the same screen as above will be provided. The Treasurer can create and print the list of members in the same manner as described above.

Once the Treasurer is content that the list and the sum shown is correct, he can then accept the Annual Return.

Note: Once he has clicked on 'Accept' the listing of members cannot be produced by either Treasurer. nor Secretary.

The Treasurer will then receive a further e-mail detailing the payment to be made and the payment methods that are available.